RESERVE BANK OF INDIA - DEPARTMENT OF REGULATION
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Guidelines on Default Loss Guarantee (FLDG) in Digital Lending

1. Background and Purpose:

Reference is invited to Para 6 of the Guidelines on Digital Lending dated September 02, 2022.
This framework establishes permissible arrangements for Default Loss Guarantee (DLG) between Regulated Entities (REs) and Lending Service Providers (LSPs).

2. Cap on Default Loss Guarantee (DLG):

(a) An RE shall ensure that the total amount of DLG cover on any outstanding portfolio shall NOT exceed five percent (5%) of the amount of that loan portfolio.
(b) In case of implicit guarantee arrangements, the DLG cap of 5% shall strictly apply.

3. Permissible Forms of DLG:

REs shall accept DLG only in one or more of the following explicit forms:
1. Cash deposit maintained with the RE;
2. Fixed Deposits maintained with a Scheduled Commercial Bank with a lien marked in favor of the RE;
3. Bank Guarantee in favor of the RE issued by a Scheduled Commercial Bank.

4. Customer Protection and NPA Classification:

Recognition of individual loan accounts as Non-Performing Assets (NPA) and subsequent provisioning shall be the absolute responsibility of the RE, irrespective of any DLG cover available.
DLG invocation shall not postpone the asset classification norms stipulated by RBI.